CAPITAL IMPROVEMENT PLAN

Lantern Industrial Park | Grand Rapids, MI

Property	Lantern Industrial Park
Plan Date	March 11, 2024
Prepared For	Juniper Peak Real Estate Fund
Total Plan Budget	$298,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Life Safety	04/25/26	Q3 2027	$217,000	$91,942	In progress
LED lighting retrofit	Site	03/02/25	Q2 2026	$279,000	$237,164	Bidding
Fence replacement	Life Safety	03/26/25	Q3 2026	$377,000	$177,905	Approved
Fence replacement	Site	03/02/24	Q1 2027	$517,000	$461,592	Approved
Lobby renovation	Energy	08/26/24	Q3 2027	$688,000	$499,161	In progress
Storefront glazing	Life Safety	04/15/23	Q3 2026	$735,000	$15,412	In progress
Water heater replacement	Interior	07/20/26	Q3 2027	$428,000	$13,213	Complete
Amenity renovation	Building	08/03/23	Q3 2027	$808,000	$351,305	In progress
Sewer line repair	Life Safety	02/28/23	Q4 2027	$79,000	$39,312	Approved
ADA compliance	Life Safety	01/31/25	Q2 2025	$511,000	$343,550	Approved
Fence replacement	Interior	08/21/25	Q1 2025	$394,000	$211,469	In progress
Landscape / irrigation	Building	07/26/24	Q4 2025	$856,000	$88,818	Approved
Fence replacement	Life Safety	07/24/26	Q3 2026	$23,000	$410	Bidding
Pool resurfacing	Interior	04/18/23	Q1 2027	$823,000	$217,044	Complete
Parking lot resurfacing	Interior	11/08/26	Q3 2026	$253,000	$134,337	In progress
Signage / monument	Interior	03/08/23	Q1 2025	$382,000	$181,154	Deferred
Signage / monument	Site	10/29/26	Q2 2026	$236,000	$66,515	Bidding
Roof replacement - Bldg C	Site	02/28/26	Q2 2025	$731,000	$179,117	In progress
Fire alarm panel upgrade	Energy	03/01/24	Q1 2027	$250,000	$202,266	Deferred
Sewer line repair	Building	07/30/26	Q3 2026	$77,000	$53,555	Bidding
Water heater replacement	Energy	02/26/25	Q1 2026	$333,000	$244,278	Complete
Parking lot resurfacing	Energy	10/03/24	Q3 2027	$657,000	$119,112	Approved

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Building	10/04/24	Q4 2026	$232,000	$185,613	Bidding
ADA compliance	Energy	12/22/25	Q1 2027	$225,000	$34,785	In progress
Signage / monument	Building	02/26/23	Q3 2027	$463,000	$230,143	Complete
Signage / monument	Building	09/29/23	Q3 2027	$236,000	$87,889	Bidding
Elevator modernization	Building	05/31/23	Q4 2025	$431,000	$103,857	Approved
Signage / monument	Site	06/30/26	Q1 2025	$200,000	$155,495	Deferred
Door hardware	Site	08/06/23	Q4 2025	$124,000	$107,439	Bidding
Lobby renovation	Energy	09/17/24	Q2 2027	$638,000	$464,865	In progress
Signage / monument	Interior	06/15/26	Q4 2026	$181,000	$4,685	Deferred
Exterior paint	Energy	09/12/23	Q2 2027	$363,000	$375,566	Complete
Fire alarm panel upgrade	Interior	02/03/25	Q2 2026	$831,000	$239,784	Approved
Parking lot resurfacing	Life Safety	10/03/23	Q1 2026	$411,000	$56,832	Bidding
Water heater replacement	Energy	03/11/25	Q3 2025	$492,000	$198,055	Approved
HVAC replacement	Life Safety	03/12/24	Q1 2026	$200,000	$204,276	Bidding
Amenity renovation	Building	07/22/25	Q2 2026	$657,000	$516,907	Bidding
Amenity renovation	Life Safety	12/16/23	Q4 2027	$631,000	$62,025	Bidding
ADA compliance	Life Safety	02/23/24	Q3 2025	$459,000	$387,358	Approved
Fence replacement	Site	08/06/25	Q3 2026	$600,000	$19,611	Complete
Landscape / irrigation	Interior	06/23/26	Q3 2026	$832,000	$679,022	Deferred
Amenity renovation	Life Safety	02/11/26	Q2 2027	$899,000	$543,047	Approved
Elevator modernization	Site	10/20/26	Q2 2027	$207,000	$105,762	Approved
Exterior paint	Site	08/09/23	Q4 2026	$329,000	$336,413	Bidding
Elevator modernization	Site	11/09/23	Q3 2026	$861,000	$377,687	Complete
Fire alarm panel upgrade	Energy	09/06/23	Q1 2027	$381,000	$171,468	Approved
Unit interior upgrades	Interior	01/02/25	Q2 2027	$671,000	$396,276	Deferred
ADA compliance	Site	02/15/25	Q1 2027	$896,000	$852,638	Approved
Fire alarm panel upgrade	Building	04/20/23	Q4 2027	$586,000	$443,883	Complete
Fence replacement	Energy	07/16/23	Q3 2025	$764,000	$307,400	Complete
Pool resurfacing	Life Safety	04/13/26	Q4 2025	$780,000	$532,627	Approved
Fire alarm panel upgrade	Site	11/07/26	Q4 2027	$164,000	$110,002	Complete
LED lighting retrofit	Building	03/28/23	Q1 2025	$540,000	$536,079	In progress
Fence replacement	Energy	11/07/24	Q4 2025	$582,000	$462,153	Deferred
Storefront glazing	Life Safety	11/18/24	Q1 2026	$802,000	$260,578	Deferred
Roof replacement - Bldg B	Life Safety	11/16/25	Q2 2025	$387,000	$214,089	Complete
Fire alarm panel upgrade	Site	12/30/24	Q1 2027	$854,000	$499,796	Bidding
Elevator modernization	Site	12/22/23	Q3 2026	$821,000	$151,081	Deferred
Elevator modernization	Building	04/10/23	Q2 2025	$572,000	$437,509	Complete
Amenity renovation	Site	06/22/23	Q4 2026	$727,000	$168,525	Deferred
Water heater replacement	Site	09/19/24	Q3 2026	$824,000	$424,308	Complete
Water heater replacement	Building	09/25/26	Q3 2027	$196,000	$70,526	In progress
Water heater replacement	Interior	10/28/25	Q4 2027	$202,000	$210,576	In progress
HVAC replacement	Energy	03/10/25	Q2 2027	$604,000	$34,652	Deferred
Exterior paint	Interior	01/03/23	Q4 2027	$634,000	$423,509	In progress

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Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $201,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 3' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $9 per square foot triple net with 3% annual escalations. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $9 per square foot triple net with 3% annual escalations. The building offers 32' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 42 months. Elevators were last modernized 7 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $377,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 6 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Life Safety	07/30/25	Q3 2027	$283,000	$168,542	Approved
Storefront glazing	Life Safety	05/08/23	Q4 2026	$796,000	$78,448	Deferred
LED lighting retrofit	Life Safety	02/15/24	Q2 2026	$291,000	$228,143	Deferred
Signage / monument	Interior	12/21/24	Q1 2025	$529,000	$244,679	Approved
Amenity renovation	Interior	05/27/23	Q3 2027	$283,000	$14,975	In progress
Roof replacement - Bldg C	Site	02/20/26	Q3 2026	$204,000	$52,134	In progress
Pool resurfacing	Interior	01/18/25	Q3 2027	$449,000	$18,381	Complete
Fire alarm panel upgrade	Site	10/02/24	Q2 2027	$296,000	$88,779	Bidding
Exterior paint	Building	04/08/23	Q3 2026	$190,000	$96,066	Approved
Landscape / irrigation	Building	07/25/23	Q3 2026	$495,000	$133,453	Deferred
Elevator modernization	Interior	10/11/25	Q3 2025	$478,000	$150,162	In progress
HVAC replacement	Energy	09/15/23	Q3 2027	$773,000	$301,893	Approved
ADA compliance	Building	02/02/24	Q1 2027	$492,000	$367,548	In progress
ADA compliance	Energy	03/13/23	Q2 2026	$418,000	$293,751	In progress
Unit interior upgrades	Life Safety	10/20/25	Q2 2025	$789,000	$793,882	Bidding
Amenity renovation	Life Safety	06/10/23	Q1 2025	$696,000	$85,008	Approved
Fence replacement	Life Safety	02/23/25	Q2 2026	$555,000	$510,362	Bidding
Signage / monument	Interior	02/22/26	Q2 2025	$747,000	$506,569	Approved
Fire alarm panel upgrade	Life Safety	05/14/24	Q3 2027	$155,000	$83,245	Bidding
Roof replacement - Bldg D	Energy	07/02/24	Q1 2026	$572,000	$336,245	In progress
Water heater replacement	Energy	01/29/26	Q4 2025	$400,000	$49,546	Complete
Fire alarm panel upgrade	Building	02/14/23	Q3 2027	$84,000	$53,287	Deferred
Unit interior upgrades	Building	03/28/24	Q3 2027	$168,000	$91,944	Deferred
Security camera upgrade	Site	09/28/24	Q2 2026	$547,000	$429,366	Bidding
Landscape / irrigation	Life Safety	04/11/23	Q4 2025	$128,000	$60,047	Complete
Exterior paint	Life Safety	09/21/26	Q3 2027	$561,000	$77,763	In progress
Storefront glazing	Interior	06/30/24	Q4 2026	$568,000	$249,378	Approved
Roof replacement - Bldg A	Interior	02/21/23	Q4 2026	$840,000	$802,529	Bidding
LED lighting retrofit	Energy	03/03/23	Q4 2025	$479,000	$393,611	In progress
Security camera upgrade	Site	06/08/25	Q1 2025	$288,000	$296,752	Bidding
Fire alarm panel upgrade	Interior	02/06/25	Q2 2027	$397,000	$338,904	Approved
Sewer line repair	Site	04/25/26	Q1 2026	$838,000	$832,225	Complete
Exterior paint	Life Safety	10/02/25	Q3 2026	$682,000	$646,099	Complete
Roof replacement - Bldg C	Site	02/02/26	Q3 2027	$453,000	$389,173	Approved
Fence replacement	Building	11/15/23	Q4 2025	$738,000	$314,048	In progress
Storefront glazing	Building	09/19/25	Q1 2025	$475,000	$111,748	Complete
Amenity renovation	Building	04/27/26	Q3 2025	$898,000	$11,103	Deferred
Landscape / irrigation	Life Safety	11/07/23	Q3 2025	$816,000	$25,333	Approved
Landscape / irrigation	Energy	10/04/24	Q4 2027	$816,000	$597,864	Complete
Landscape / irrigation	Interior	12/03/24	Q2 2025	$196,000	$88,163	In progress
Parking lot resurfacing	Interior	12/28/24	Q2 2026	$127,000	$37,869	Complete
Storefront glazing	Energy	05/29/23	Q3 2027	$75,000	$60,024	Approved
HVAC replacement	Site	03/20/24	Q4 2027	$505,000	$370,236	Bidding

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Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $99,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $369,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency.

Risk Considerations

The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Projected levered IRR is 5.2% with an equity multiple of 1.2x over the hold period. In-place rents average $9 per square foot triple net with 3% annual escalations. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. The building offers 28' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. Projected levered IRR is 11.2% with an equity multiple of 1.6x over the hold period.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. Elevators were last modernized 6 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $252,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 9.4% with an equity multiple of 1.17x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The facility is located 8 miles from the interstate with access to a regional intermodal terminal.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Building	07/04/25	Q4 2027	$70,000	$67,038	In progress
Parking lot resurfacing	Life Safety	05/06/23	Q1 2025	$166,000	$147,412	Bidding
Fire alarm panel upgrade	Life Safety	12/26/26	Q3 2025	$611,000	$405,167	Approved
Amenity renovation	Energy	01/26/24	Q1 2025	$793,000	$563,435	In progress
Roof replacement - Bldg A	Life Safety	03/07/23	Q2 2026	$635,000	$644,715	Bidding
Parking lot resurfacing	Energy	07/13/26	Q3 2025	$68,000	$22,176	Bidding
Landscape / irrigation	Energy	06/27/26	Q2 2027	$523,000	$277,508	Bidding
Door hardware	Site	12/28/23	Q1 2026	$516,000	$53,121	Approved
Storefront glazing	Interior	08/11/24	Q3 2026	$356,000	$110,502	In progress
Fence replacement	Building	01/18/24	Q3 2025	$151,000	$19,732	Complete
Amenity renovation	Energy	08/03/23	Q4 2026	$79,000	$67,985	Complete
Door hardware	Building	12/23/25	Q2 2025	$34,000	$21,969	In progress
Landscape / irrigation	Energy	01/09/25	Q1 2025	$512,000	$177,184	Deferred
Water heater replacement	Site	07/07/24	Q1 2025	$260,000	$100,456	Deferred
Security camera upgrade	Life Safety	10/25/23	Q3 2026	$734,000	$207,802	Complete
Elevator modernization	Energy	06/01/23	Q3 2027	$636,000	$187,774	Approved
Roof replacement - Bldg C	Life Safety	08/17/23	Q3 2027	$544,000	$570,101	In progress
HVAC replacement	Building	10/01/24	Q3 2026	$286,000	$229,662	Approved
Water heater replacement	Site	07/03/23	Q1 2027	$80,000	$44,935	Approved
Signage / monument	Energy	12/05/26	Q4 2026	$99,000	$55,166	Deferred
Sewer line repair	Interior	09/14/23	Q3 2027	$626,000	$47,846	Approved
HVAC replacement	Site	12/21/24	Q2 2025	$459,000	$272,434	Approved
Water heater replacement	Life Safety	04/05/26	Q4 2027	$713,000	$65,729	Deferred
Lobby renovation	Life Safety	12/22/24	Q3 2027	$368,000	$117,709	Approved
Amenity renovation	Interior	09/21/25	Q2 2026	$24,000	$15,283	Complete
Signage / monument	Interior	11/13/24	Q1 2027	$713,000	$538,227	Bidding
Door hardware	Life Safety	09/22/23	Q3 2027	$713,000	$17,065	Approved
Water heater replacement	Site	12/12/24	Q2 2026	$557,000	$246,880	Deferred
Fence replacement	Site	02/18/23	Q2 2026	$46,000	$41,064	Bidding
Unit interior upgrades	Building	01/04/25	Q2 2027	$271,000	$69,528	Complete
Landscape / irrigation	Site	06/04/25	Q3 2025	$398,000	$224,313	Complete
Exterior paint	Energy	04/19/24	Q3 2026	$475,000	$108,610	Bidding
Pool resurfacing	Interior	10/30/26	Q2 2026	$712,000	$493,302	Approved
ADA compliance	Building	05/12/24	Q2 2027	$677,000	$284,615	Complete
Fire alarm panel upgrade	Life Safety	06/15/23	Q3 2027	$283,000	$31,628	Deferred
Roof replacement - Bldg C	Life Safety	05/28/23	Q3 2025	$497,000	$140,567	Bidding
Exterior paint	Building	08/03/25	Q3 2027	$646,000	$308,621	Complete
Storefront glazing	Life Safety	08/10/24	Q3 2027	$628,000	$411,212	In progress
Lobby renovation	Building	09/20/23	Q1 2026	$79,000	$27,540	Bidding
Unit interior upgrades	Interior	05/03/25	Q4 2025	$309,000	$154,150	Approved
Amenity renovation	Interior	09/12/25	Q3 2027	$465,000	$169,403	In progress
Unit interior upgrades	Life Safety	07/29/23	Q3 2025	$165,000	$75,720	Complete

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Summary and Notes

Income and Expense Review

Effective gross income for the trailing period was $439,000, representing a 10.8% increase over the prior year. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption. In-place rents average $9 per square foot triple net with 3% annual escalations. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.65% reflects the in-place income and the stabilized occupancy assumption. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. The building offers 11' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Property Operations

The building offers 23' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 93.1% of billed charges, with bad debt of 3.7% of gross potential income. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The building offers 19' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. In-place rents average $9 per square foot triple net with 3% annual escalations. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members.

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